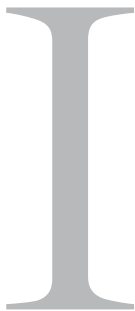




Winds of Change

Finance Minister Nirmala Sitharaman is known for her deft handling of the economy and ensuring that growth remains resilient, despite challenges

BY **SURABHI**



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IF THE PERFORMANCE of a CEO is measured by the profitability of their company, the performance of a finance minister is reflected in the growth rate and the health of the economy they lead. India's emergence as the fastest-growing major economy and among the top five largest economies in terms of size leaves no doubt about the crucial role that Nirmala Sitharaman, Union Finance and Corporate Affairs Minister, has played in crafting it to its current stature.

As the longest continuously serving finance minister of the country and the first woman to hold the post since former Prime Minister Indira Gandhi way back in 1969-70, Sitharaman has already won several accolades in her long innings. She will add one more record when she presents the Union Budget 2026-27; she will become the only finance minister to present nine consecutive Budgets under the same government. At 10, former Prime Minister Morarji Desai still holds the record for presenting the most Budgets, but under different governments.

Sitharaman, with the able support of her officials, has helmed the economy through numerous twists and turns, be it the never-seen-before national lockdown due to the Covid-19 pandemic that put parts of the economy out of action amid a wave of reverse migration, or the

more recent turbulence from geopolitical developments and the 50% tariffs imposed by the US on Indian goods.

She has ensured that policies are crafted keeping in mind not only the broader macro economy but also their impact on the common people. Not surprisingly, over the last year, the minister has worked on several tax policies aimed at alleviating the stress of high inflation on the pockets of individual taxpayers and small businesses by lowering tax rates. Sitharaman's Union Budget 2025-26 will be remembered for income tax giveaways that resulted in nil tax for annual income of up to ₹12 lakh for nearly 15 million taxpayers. This was accompanied by a significant rationalisation of customs duties.

The mid-year course correction in the rates of the goods and services tax (GST), resulting in lower rates on 375 items, has already lifted this year's festive sales to record highs, and is expected to help household budgets in the longer run. This is reflected in high frequency indicators including vehicle sales, e-way bill generation as well as the Purchasing Managers' Index, all of which pointed to a pickup in economic momentum. Sitharaman and her team had been studying and working on the changes for 18 months before the proposals were finalised and submitted to the GST Council. Again, the tenacity to plod through the fine print, item by item, is evident.

But it's not just been about tax giveaways. Even on the expenditure side, Sitharaman has shown that she can manage the books, and the country has remained on the road of fiscal consolidation despite providing a sharp boost to capital spending. The fiscal deficit is expected to be 4.4% of the GDP in FY26 and has seen a steady reduction from 4.8% in FY25 and 5.6% in FY24.

Sitharaman has also proven that she's capable of pulling through tough decisions and ambitious reforms, including the disinvestment of Air India and the ongoing privatisation of IDBI Bank. She helmed the new Income Tax Act, 2025, which will become effective from April 1, 2026, and was drafted and enacted in record time.

Insiders in the Finance Ministry say Sitharaman approaches proposals with scrutiny, frequently asking direct questions to understand the implications.

Apart from policy, Sitharaman is also known for her distinct handloom and handwoven sarees with an enviable collection from across the country.

As the minister gets down to finalising the nitty-gritties of the Union Budget 2026-27, her experience and deft handling of the economy through turbulent times will keep the Indian economy in good stead. **BT**

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